

EV GROWTH IS EVERYWHERE,



BUT WHO WILL WIN THE RACE?

EVs are taking over roads, yet growth is far from equal. China races ahead, the US slows, and India sparks a surprise surge. Who will dominate next?



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The global electric vehicle (EV) market is entering a new phase of uneven but decisive growth. In China, more than half of all new vehicle sales are now electric, making it the clear global leader. In contrast, the United States (US) is witnessing a temporary slowdown, driven by policy uncertainty, shifting tax rules, inflation, and higher interest rates.

Even so, over 370,000 EVs were sold in the US in the first quarter of 2025 alone, lifting market share to nearly 9.6%. Meanwhile, emerging markets such as India are accelerating, supported by low-cost models and rising urban demand. Canada has also experienced slower growth, while parts of Europe and South Korea are seeing stronger uptake with more affordable offerings.

Over the next three to five years, adoption trends will diverge but continue to rise. In the US, short-term headwinds linked to tariffs and reduced

incentives may persist, yet the long-term direction remains clear. Electrification is expected to account for more than 20% of new car sales, as fuel prices rise and technologies such as robotaxis and Level 3, 4, and 5 autonomous vehicles move into wider commercial deployment. China is likely to maintain strong momentum, backed by policy support and high consumer acceptance.

India, however, could see the fastest relative growth, driven by urban mobility, especially for two- and three-wheelers and passenger EVs, as charging networks improve and battery prices decline. Advances in fast charging, software-defined vehicles, and vehicle-to-grid integration are also making EVs more practical and cost-effective.

Policy and manufacturing investments continue to shape these trajectories. In the US, tariffs, including 10% duties on vehicle imports from Japan, South Korea, and Europe, and 25% on imports from